

SLOW DOWN 4 SAM

A Michigan Nonprofit Organization

CONFLICT OF INTEREST POLICY

In memory of Sam Gross. Ride safe. Slow down.

Effective date: _____

Approved by the Board of Directors: _____

ARTICLE I — PURPOSE

The purpose of this Conflict of Interest Policy (the “Policy”) is to protect the interests of Slow Down 4 Sam, a Michigan nonprofit organization dedicated to teaching motorcycle safety to young adults in honor of Sam Gross (the “Organization”), when it is contemplating a transaction, arrangement, grant, contract, or other decision that might benefit the private interest of an Interested Person or that might result in a possible excess benefit transaction under Internal Revenue Code section 4958.

This Policy is intended to supplement, not replace, any applicable state and federal laws governing conflicts of interest applicable to nonprofit and charitable organizations, including the Michigan Nonprofit Corporation Act, Act 162 of 1982, as amended, and the Internal Revenue Code.

Having a potential conflict is not, by itself, a violation. Failing to disclose a conflict, or participating in a decision after a conflict is identified, is a violation. The Organization expects prompt, good-faith disclosure.

ARTICLE II — DEFINITIONS

1. Interested Person

An Interested Person is any director, officer, member of a committee with Board-delegated powers, key employee, or other person with substantial influence over the Organization who has a Financial Interest, as defined below. If a person is an Interested Person with respect to any affiliate of the Organization, that person is an Interested Person with respect to the Organization.

2. Financial Interest

A person has a Financial Interest if the person has, directly or indirectly, through business, investment, or family:

- An ownership or investment interest in any entity with which the Organization has a transaction or arrangement;
- A compensation arrangement with the Organization or with any entity or individual with which the Organization has a transaction or arrangement; or
- A potential ownership or investment interest in, or compensation arrangement with, any entity or individual with which the Organization is negotiating a transaction or arrangement.

Compensation includes direct and indirect remuneration as well as gifts or favors that are substantial. A Financial Interest is not necessarily a conflict of interest. Under Article III, a person who has a Financial Interest has a conflict of interest only if the Board or appropriate committee decides that a conflict of interest exists.

3. Family Member

“Family Member” means a spouse, domestic partner, ancestor, child (including adopted and stepchild), grandchild, great-grandchild, sibling (whether whole or half blood), and the spouse or domestic partner of any of those persons.

4. Key Employee

“Key Employee” means any person who has substantial influence over the affairs of the Organization, including anyone treated as a key employee for Form 990 purposes.

5. Duality of Interest

A Duality of Interest exists when an Interested Person also serves as a director, officer, employee, contractor, or volunteer of another organization that may seek funding from, contract with, partner with, or compete with Slow Down 4 Sam (for example, another motorcycle-safety, traffic-safety, or youth-education organization). Duality of Interest must be disclosed even if no immediate Financial Interest exists.

6. Appearance of a Conflict

The Organization also treats as a reportable matter any situation that a reasonable person would view as creating the appearance of a conflict, including public endorsement of a vendor, instructor, or sponsor in a way that could appear to trade on Sam Gross’s memory or the Organization’s name for private gain.

ARTICLE III — PROCEDURES

1. Duty to Disclose

In connection with any actual or possible conflict of interest, an Interested Person must disclose the existence of the Financial Interest or Duality of Interest and be given the opportunity to

disclose all material facts to the directors and members of committees with Board-delegated powers considering the proposed transaction or arrangement. Disclosure should occur as soon as the Interested Person knows, or reasonably should know, that a matter may come before the Board or a committee.

2. Determining Whether a Conflict of Interest Exists

After disclosure of the Financial Interest or Duality of Interest and all material facts, and after any discussion with the Interested Person, the Interested Person shall leave the meeting while the determination of a conflict of interest is discussed and voted upon. The remaining Board or committee members shall decide if a conflict of interest exists.

3. Procedures for Addressing the Conflict of Interest

- a. An Interested Person may make a presentation at the Board or committee meeting, but after the presentation the Interested Person shall leave the meeting during the discussion of, and the vote on, the transaction or arrangement involving the possible conflict of interest.
- b. The chair of the Board or committee shall, if appropriate, appoint a disinterested person or committee to investigate alternatives to the proposed transaction or arrangement.
- c. After exercising due diligence, the Board or committee shall determine whether the Organization can obtain, with reasonable efforts, a more advantageous transaction or arrangement from a person or entity that would not give rise to a conflict of interest.
- d. If a more advantageous transaction or arrangement is not reasonably possible under circumstances not producing a conflict of interest, the Board or committee shall determine by a majority vote of the disinterested directors whether the transaction or arrangement is in the Organization's best interest, for its own benefit, and fair and reasonable. In conformity with that determination, it shall make its decision as to whether to enter into the transaction or arrangement.

4. Violations of the Policy

- a. If the Board or committee has reasonable cause to believe a person has failed to disclose an actual or possible conflict of interest, it shall inform the person of the basis for such belief and afford the person an opportunity to explain the alleged failure to disclose.
- b. If, after hearing the person's response and after making further investigation as warranted by the circumstances, the Board or committee determines the person has failed to disclose an actual or possible conflict of interest, it shall take appropriate disciplinary and corrective action, which may include removal from the Board or a committee, termination of employment or volunteer service, and, if warranted, reporting to legal counsel or regulators.

ARTICLE IV — RECORDS OF PROCEEDINGS

The minutes of the Board and all committees with Board-delegated powers shall contain:

- The names of the persons who disclosed or otherwise were found to have a Financial Interest or Duality of Interest in connection with an actual or possible conflict of interest, the nature of the

interest, any action taken to determine whether a conflict of interest was present, and the Board's or committee's decision as to whether a conflict of interest in fact existed.

- The names of the persons who were present for discussions and votes relating to the transaction or arrangement, the content of the discussion, including any alternatives to the proposed transaction or arrangement, and a record of any votes taken in connection with the proceedings.

Minutes shall be prepared promptly and retained with the Organization's corporate records.

ARTICLE V — COMPENSATION

1. A voting member of the Board who receives compensation, directly or indirectly, from the Organization for services is precluded from voting on matters pertaining to that member's compensation.

2. A voting member of any committee whose jurisdiction includes compensation matters and who receives compensation, directly or indirectly, from the Organization for services is precluded from voting on matters pertaining to that member's compensation.

3. No voting member of the Board or any committee whose jurisdiction includes compensation matters and who receives compensation, directly or indirectly, from the Organization, either individually or collectively, is prohibited from providing information to any committee regarding compensation.

If the Organization later pays officers or key employees, compensation shall be reviewed using comparable data for similarly situated Michigan nonprofits of similar size and mission, documented contemporaneously, and approved by disinterested directors, consistent with the rebuttable presumption procedures under Treas. Reg. § 53.4958-6 where applicable.

ARTICLE VI — ANNUAL STATEMENTS

Each director, principal officer, member of a committee with Board-delegated powers, and Key Employee shall annually sign a statement that affirms such person:

- Has received a copy of this Policy;
- Has read and understands the Policy;
- Has agreed to comply with the Policy; and
- Understands that Slow Down 4 Sam is a nonprofit organization that must engage primarily in activities that accomplish one or more of its tax-exempt purposes in order to maintain federal tax exemption (if and when exemption is obtained or maintained) and public trust.

Each such person shall also complete the Annual Conflict of Interest Disclosure Questionnaire attached as Exhibit A, and shall update that questionnaire promptly if circumstances change during the year.

ARTICLE VII — PERIODIC REVIEWS

To ensure the Organization operates in a manner consistent with its charitable and educational purposes and does not engage in activities that could jeopardize its tax-exempt status or public standing, periodic reviews shall be conducted. The periodic reviews shall, at a minimum, include the following subjects:

- Whether compensation arrangements and benefits, if any, are reasonable, based on competent survey information, and the result of arm's-length bargaining.
- Whether partnerships, joint ventures, vendor contracts, instructor agreements, sponsorships, and other arrangements with motorcycle shops, training schools, event promoters, insurers, or other partners conform to the Organization's written policies, are properly recorded, reflect reasonable payments for goods and services, further charitable purposes, and do not result in inurement, impermissible private benefit, or an excess benefit transaction.
- Whether use of the Organization's name, Sam Gross's memory, educational materials, website, or GitHub organization resources benefits private parties in a manner inconsistent with this Policy.

ARTICLE VIII — USE OF OUTSIDE EXPERTS

When conducting the periodic reviews provided for in Article VII, the Organization may, but need not, use outside advisors. If outside experts are used, their use shall not relieve the Board of its responsibility for ensuring periodic reviews are conducted.

ARTICLE IX — ORGANIZATION-SPECIFIC APPLICATIONS

Because Slow Down 4 Sam's work involves motorcycle-safety education, community outreach, and possible partnerships with instructors, dealerships, riding clubs, event venues, and sponsors, the following situations require disclosure and Board review before any commitment is made:

- A director, officer, instructor, or family member owns or works for a motorcycle dealership, repair shop, apparel or gear company, insurance agency, or rider-training school that the Organization may recommend, hire, or feature.
- A covered person would receive a commission, referral fee, discounted bike or gear, free training slot, or other consideration in connection with an Organization program or event.

- A covered person seeks to provide paid instruction, curriculum design, web development, legal, accounting, or other professional services to the Organization.
- A covered person or family member would receive a grant, scholarship, stipend, or travel reimbursement that is not available on the same terms to similarly situated participants.
- A sponsor or donor conditions a gift on selection of a particular vendor, instructor, or curriculum in which the sponsor or a covered person has an interest.
- Use of Organization platforms (website, GitHub, events, or social media) to promote a covered person's private business.

Disinterested directors may approve a transaction after the procedures in Article III if they find it is fair, reasonable, and in furtherance of the mission to educate young adults about motorcycle safety on Michigan roads.

ARTICLE X — GIFTS AND FAVORS

Covered persons shall not accept gifts, entertainment, or other favors from any individual or entity that does or seeks to do business with, or is a competitor of, the Organization, when that gift or favor might reasonably be interpreted as intended to influence the covered person in the performance of duties. Token items of nominal value (generally under \$50) and modest working meals at events in the ordinary course may be accepted if disclosed when in doubt. Cash or cash equivalents shall not be accepted.

ARTICLE XI — CONFIDENTIALITY

Covered persons shall not use or disclose confidential information belonging to the Organization—including donor lists, unpublished curriculum, unpublished financial information, and nonpublic information about Sam Gross's family—for personal advantage or for the advantage of any other person or entity.

ARTICLE XII — ADMINISTRATION

The Board of Directors is responsible for administering this Policy. The Board President (or, if the President is conflicted, another disinterested officer) shall collect annual disclosure statements, maintain them with the corporate records, and bring potential conflicts to the Board. This Policy shall be reviewed at least every two years, or sooner if the Organization obtains 501(c)(3) recognition, hires staff, or begins regular grantmaking or contracting.

Questions about this Policy may be directed to the Board at contact@slowdown4sam.org.

ARTICLE XIII — ADOPTION

This Policy was presented to the Board of Directors of Slow Down 4 Sam and adopted on the date stated below. It supersedes any prior informal practice on the same subject.

Adopted by the Board of Directors on: _____

Board President / Chair: _____ Date: _____

Secretary: _____ Date: _____

Treasurer: _____ Date: _____